

Extra exercises of Lecture 16

EX 1

Which is the least costly way for a bank to raise liquidity

- a) interbank overnight loans using Fed funds market
- b) loan sales
- c) discount window borrowing from the FED
- d) deposit of excess reserves at the FED

EX 2

When reserves are scarce, open market purchases by the central bank

- a) increase the Fed funds rate by increasing the supply of reserves
- b) decrease the Fed funds rate by increasing the demand for reserves
- c) decrease the Fed funds rate by increasing the supply of reserves
- d) decrease the fed funds rate by decreasing the demand for reserves

EX 3

When a bank uses the discount window to borrow from the Fed,

- a) its balance sheet is expanded; the Fed balance sheet is expanded
- b) its balance sheet is expanded; the Fed balance is unchanged
- c) its balance sheet is unchanged, the Fed balance sheet is expanded
- d) its balance sheet is unchanged, the Fed balance sheet unchanged

EX 4

Suppose the central bank (Federal Reserve) increases the interest rate on excess reserves.

Which of the following situations in the federal fund market, before the central bank action, *surely* generates an increase in the resulting federal fund rate?

- a) the Fed fund rate equaled the discount rate
- b) the Fed fund rate equaled the interest rate on excess reserves
- c) the Fed fund rate was determined on the downward sloping part of the reserve demand function
- d) the Fed fund rate was determined on the upward sloping part of the reserve demand function